tea from Kenya and Malawi in Africa but now it could look at Indian plantations as a new source.

For Ratan, the acquisition was a milestone in the journey to inject ‘new vigour into the market in a very well-established brand’. UK Tea Council Director Illtyd Lewis also couldn’t help but hail the ‘new ownership’ as a necessity to bring ‘urgency into a company’.

‘Marriage Counselling’

Ratan loathed being seen as a conqueror. He did not disband existing structures simply because it was the way acquirers went about establishing their authority. Whether it was this acquisition or the others he would make later, he preferred to work with the existing team, making incremental changes at best. In Tetley’s case, however, this approach threw up several challenges, though that did not surprise Ratan. He was aware that there could be a considerable difference in the perceptions of the Tatas and the Tetley management.

The problem arose especially because of the lingering colonial mindset that the British found difficult to shed. It was none the easier for the Tetley management to abdicate authority. They had hoped that the merger would be a case of ‘Indian money under English control’. Inevitably, cultural, business and stylistic differences surfaced. Beyond these rather expected irritants, some difficulties were posed by the Tetley employees who found it difficult to recognize and accept that they had suddenly become employees of a company owned by its one-time colony. Tata Tea officials were even kept waiting at the reception of Tetley’s office and the latter made no bones of complaining that the Indian company knew nothing about ‘Western markets’.

At Tetley, a strict set of rules and processes was followed with considerable emphasis on precision and attention to detail. However, as Govind Sankaranarayanan, group treasury and risk manager at the Tetley Group, wrote to Ratan, there was ‘correspondingly less evidence of cross-functional skills or medium term planning, a characteristic’ which was ‘perhaps an overhang of the previous venture capitalist owners’. Despite strong integration efforts, even a year after the merger, the Tetley management resisted involvement by Tata Tea. Their reasoning included the claim that the banks would not support a change of control. ‘Breaking down